

# “AuditTracker”

## *Structured Audit Observation Management Software for Chartered Accountancy Firms*

### 1. Overview

**AuditTracker** is a locally hosted audit observation management software developed specifically for use in a Chartered Accountancy office.

The software has been designed to bring structure, consistency and accountability to the process of recording, reviewing and reporting audit observations during different types of audit assignments.

In many audit engagements, observations identified by audit team members are initially recorded through handwritten notes, Excel sheets, Word files, emails, WhatsApp messages or informal discussions. Such fragmented documentation can make it difficult to consolidate observations, track critical matters, document management discussions and ensure that all significant issues are appropriately reviewed by the engagement partner.

**AuditTracker addresses this problem by providing a single structured platform for maintaining audit observations throughout an engagement.**

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### 2. Problem Statement

#### Existing Challenge

**Non-structured recording of audit observations leads to inefficient and inconsistent audit documentation.**

During an audit, different team members may identify multiple observations relating to accounting, statutory compliance, internal controls, taxation, documentation and financial reporting.

Where these observations are recorded through different mediums, the audit team may face issues such as:

- observations being missed during finalisation;
- lack of uniformity in audit documentation;
- difficulty in identifying critical observations;
- inadequate documentation of discussions with management;

- difficulty in communicating important matters to the engagement partner;
- repetitive preparation of client-wise observation sheets;
- lack of a consolidated view of pending or critical matters; and
- considerable time being spent in compiling the final audit observation report.

AuditTracker has been developed to convert this fragmented process into a **structured digital workflow**.

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## 3. Key Features of AuditTracker

### Multiple Types of Audits

The software allows a CA firm to configure and maintain different categories of audits undertaken by the office, such as:

- Statutory Audit
- Tax Audit
- Internal Audit
- GST Audit / Review
- Bank Audit
- Concurrent Audit
- Stock Audit
- Limited Review
- Certification Assignments
- Other customised audit or assurance engagements

The categories can be configured according to the firm's requirements.

### Customisable Audit Checklists

AuditTracker enables the firm to create and maintain **customised audit checklists**.

Checklists can be designed separately for different types of engagements so that the audit team follows a structured approach while carrying out the assignment.

### Structured Recording of Audit Observations

Audit team members can systematically record observations identified during the audit instead of maintaining scattered notes or separate Excel/Word files.

The observation database therefore becomes a central repository of matters identified during the engagement.

## Criticality Classification

Each audit observation can be assigned an appropriate **criticality level**.

This enables the audit team and engagement partner to distinguish between routine observations and matters requiring urgent or senior-level attention.

It also helps in prioritising issues during audit finalisation and client discussions.

## Management Discussion Records

The software provides functionality for recording discussions held with client management in relation to audit observations.

This creates a structured record of:

- the issue identified;
- discussions held with management;
- management's explanation or response; and
- matters requiring further follow-up.

## Partner Notes

Partners or senior reviewers can add their own notes against audit observations.

This creates an additional review layer and helps maintain engagement-level guidance, review comments and decisions within the same audit record.

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# 4. Reporting and Client Communication

AuditTracker can generate observation reports in multiple formats, including:

### **PDF | Microsoft Word | Microsoft Excel**

Reports can be generated on different parameters, including:

- **Client-wise observations**
- **Criticality-wise observations**
- **Consolidated audit observations**

The generated audit observation reports can thereafter be shared with the client in the desired format for discussion, response, corrective action or closure.

The reporting functionality reduces the need to manually prepare separate audit observation sheets after completion of fieldwork.

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## 5. Bulk Import Through Excel Templates

To facilitate implementation and migration of existing data, AuditTracker allows information to be imported through predefined Excel templates.

The software supports import of:

- Client engagements
- Types of audits
- Audit checklists

This makes it possible for a CA office to prepare or migrate master data in Excel and thereafter upload the same into AuditTracker instead of entering each item individually.

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## 6. Development of AuditTracker

AuditTracker has been developed using an **AI-assisted software development approach**.

The development process broadly involved the following stages:

### Stage 1 – Conceptualisation and Prompt Development

The functional requirements of the audit observation management system were first conceptualised from the perspective of the practical workflow of a Chartered Accountancy firm.

**ChatGPT** was used to assist in preparing and refining the software development prompts and functional specifications.

### Stage 2 – Application Development

The application was subsequently developed using **Google AI Studio**, based on the defined functional requirements and workflows.

### Stage 3 – Desktop Deployment

The developed software was further processed through **Antigravity IDE** to convert it into an executable application that can conveniently be operated on a local computer.

The final application is available as:

**AuditTracker.exe**

## Stage 4 – Local Data Storage

AuditTracker operates on the user's local machine and uses a **SQLite local database** for storing application data.

The current architecture is therefore intended to allow the software and its database to operate locally instead of requiring a separately hosted external database server.

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## 7. How to Install and Run AuditTracker

The application folder contains the files required for installation and execution.

### First-Time Setup

Open the folder:

**audit-observation-tracker**

Run the following file:

**build-exe.bat**

The batch file installs/builds the dependencies required for running the application.

This step is ordinarily required as part of the initial setup of the software on the machine.

### Running the Application

After completion of the setup, open the folder:

**dist-exe**

Run:

**AuditTracker.exe**

AuditTracker will thereafter start on the machine and operate through its locally hosted application environment.

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## 8. Benefits for a Chartered Accountancy Firm

AuditTracker is intended to transform audit observations from scattered working notes into a structured, searchable and reportable audit database.

Its principal benefits include:

- **Standardised audit documentation**
  - **Centralised recording of audit observations**
  - **Better supervision and review by seniors and partners**
  - **Identification and prioritisation of critical observations**
  - **Documentation of management discussions**
  - **Reduced dependence on multiple Excel and Word files**
  - **Faster preparation of audit observation reports**
  - **Easy communication of observations to clients**
  - **Customised audit checklists for different assignments**
  - **Local database architecture for greater control over audit data**
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## Conclusion

**“AuditTracker” is an audit workflow and observation management tool designed around the practical requirements of a Chartered Accountancy office.**

Rather than attempting to replace the professional judgement of the auditor, the software provides a structured framework within which audit teams can **identify, document, classify, discuss, review and report audit observations**.

By combining configurable audit checklists, structured observation recording, management discussions, partner review notes, criticality-based classification and multi-format reporting, AuditTracker aims to make audit documentation more **systematic, efficient, reviewable and professionally organised**.

## Disclaimer

**AuditTracker** has been developed solely for **educational and academic purposes** as part of the **AI Level-2 Course** and for submission as a **Capstone Project**.

The software is intended to demonstrate the practical use of AI-assisted software development for structured recording and management of audit observations in a Chartered Accountancy office.

The software has been developed as a learning and demonstration project. No representation or warranty is made regarding its accuracy, completeness, security, reliability or suitability for actual professional or commercial deployment.

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